

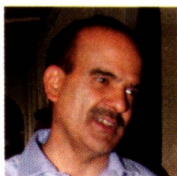


DAWOOD IBRAHIM'S smuggling network and his ISI links add to the magnitude of the problem.



Even if the numbers are not huge, the psycho-velocity of fake currency is very high as it shakes the people's faith in their currency.

PARAM BIR SINGH,
ADDL. COMMISSIONER,
MAHARASHTRA ATS



Possession of fake note becomes an offence if some one tries to pass it off knowingly as an original. So one must destroy it immediately.



RAJIV KUMAR
JOINT COMMISSIONER
& STF HEAD,
KOLKATA POLICE

The Government has to encourage use of plastic and discourage cash via fiscal measures to curb the problem.

HEMANT KAUL
EXECUTIVE
DIRECTOR, AXIS BANK



established throughout the country. Like the proverbial blind men feeling various parts of the elephant, no single agency had the complete picture of the problem. The agencies look primarily at the criminal aspects of the problem rather than arrive at a larger coordinated intelligence-based assessment of the picture.

The IB has come up with a few solutions to combat the menace. If India has to combat

looked into," says K. Sitaramam, deputy managing director, SBI.

The RBI, meanwhile already under pressure tackling the economic meltdown, is understandably playing down the threat but the Uttar Pradesh Police, for instance, says that the fake currency is as high as 30 per cent of total currency notes in circulation. That is an alarming estimate and, if true, an indication of just how serious the threat really is. Officials say that unless an accurate estimate of the total fake currency in circulation is made, it would be extremely difficult to suggest remedial measures.

The immediate solution for this menace would be to reduce the quantum of currency in circulation by encouraging other banking and transaction instruments like online payments and use of plastic. Explains Hemant Kaul, executive director of the Axis Bank: "The Government in the medium term should offer fiscal benefits to merchants on plastic transactions." The absence of an established quantum of fake currency in circulation has led to a regime of denial which has, in turn, prevented regulation to ensure banks adopt sophisticated detection technologies and follow procedure when it comes to reporting fake currency.

Like the aftermath of the Mumbai attacks, it is only when a single agency is formed and tasked to coordinate information and act on it, will there be a serious effort to counter the threat. The September 3 meeting at the IB headquarters recommended the setting up of a special intelligence-oriented FICN task force. The proposal is still buried in some file in North Block while the ISI's "dirty" war against India continues largely unchallenged.

with bureau reports

the crisis, it has to first tackle the source of printing. According to a joint intelligence committee report on FICN, India has only been successful in reaching the second tier of the problem and unable to neutralise the sources of printing, suspected to be in foreign countries. They recommended the need to associate the Ministry of External Affairs in the effort and mount diplomatic pressure on the countries concerned.

Finally, the fact that India has a vast parallel cash economy is proving to be dangerous now. With no single agency tasked with arriving at the quantum of fake currency in circulation, what the Government has is varying estimates as banks are not reporting nor are they lodging FIRs when customers deposit fake notes. "The issue of fake currency is a matter of grave concern because nobody expects fake notes to come out of bank branches or ATMs. All bank branches are supposed to have currency detection machines, whether or not they are being utilised needs to be